

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-22

GITI TIRE (USA) LTD.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

AMENDED VERIFIED COMPLAINT

Complainant, Giti Tire (USA) Ltd. (“Giti” or “Complainant”), files this Amended Complaint against Flexport International LLC (“Flexport” or “Respondent”), alleging violations of the Shipping Act of 1984, 46 U.S.C. § 40101, et. seq. (the “Shipping Act”) as amended by the Ocean Shipping Reform Act of 2022 (the “OSRA”) as follows:

I. COMPLAINANT

1. Giti Tire (USA) Ltd. is a Delaware corporation with its principal place of business located at 10404 6th Street Rancho Cucamonga, CA 91730.

II. RESPONDENT

2. Flexport International LLC is a Delaware limited liability company, with a principal office located at 760 Market Street, 8th Floor, San Francisco, CA 94102.

3. Flexport is and was at all times pertinent to this Complaint a non-vessel-operating common carrier (“NVOCC”) within the meaning of the Shipping Act, 46 U.S.C. § 40102(17),

subject to regulation by the Federal Maritime Commission (“FMC”). Flexport is a licensed NVOCC under the FMC and its License Number is 025219.

III. JURISDICTION AND LEGAL AUTHORITY

4. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act.

5. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301(a). Giti is seeking reparations for injuries caused to it by Flexport due to its violation of 46 U.S.C. § 41102 and 46 U.S.C. § 41104.

6. The FMC has personal jurisdiction over Flexport as a NVOCC as defined in 46 U.S.C. § 40102(17).

7. Flexport’s actions constitute a failure by the Flexport to meet the minimum requirements on detention and demurrage invoices sent to Giti in violation of 46 U.S.C. § 41104(a)(15), 46 U.S.C. § 41104(a)(14) and 46 U.S.C. § 41104(d).

8. Flexport’s actions also are unjust and unreasonable in violation of the requirements of 46 U.S.C. §41102(c) by invoicing demurrage and detention charges for weekend and holiday days during which the port or terminal was not available for return of containers.

9. Flexport’s actions also are unjust and unreasonable in violation of the requirements of 46 U.S.C. §41102(c), 46 U.S.C. § 41104(a)(15), 46 C.F.R. § 545.4, and 46 CFR § 545.5 by invoicing for unreasonable charges and utilizing unreasonable practices.

IV. FACTUAL ALLEGATIONS

10. In the regular course of its business, Giti shipped cargo from overseas ports to the United States. Giti entered into agreements with Flexport whereby Flexport, acting as NVOCC,

would ship containers from an overseas port to a destination designated by Giti. The large majority of these shipments came into the United States ports of Long Beach, Los Angeles, and Savannah

11. During the period between 2022 and 2023, Flexport shipped a substantial number of containers for Giti.

12. For each shipment Flexport issued house bills of lading containing the terms of the shipments. These bills of lading were the genesis of the invoices issued to Giti for the associated charges. These invoices contained the freight charges for the ocean carriage of the containers. The invoices also contained millions of dollars in charges for demurrage, detention, storage, and other accessorial charges.

13. Each of the invoices issued by Flexport to Giti relate to or are connected with receiving, handling, storing, or delivering property.

14. Flexport's practices and invoices wrongfully and unreasonably required Giti to pay millions of dollars in unreasonable demurrage and detention charges, as well as millions of dollars of other accessorial charges at unreasonable rates.

15. Flexport's conduct and invoices involve multiple, interrelated violations of the Shipping Act.

A. Deficient Invoicing Under 46 U.S.C. § 41104(d)(2)

16. From June 17, 2022, through October 5, 2022, Flexport issued hundreds of invoices to Giti with detention and demurrage charges that were improperly invoiced by Flexport in violation of the Shipping Act.

17. The Shipping Act, as amended by the OSRA, at 46 U.S.C. § 41104(a)(15), requires that a "common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . invoice any party for demurrage or detention charges unless the invoice includes

information as described in subsection (d) showing that such charges comply with (A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and (B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled ‘Interpretive Rule on Demurrage and Detention Under the Shipping Act.’”

18. 46 U.S.C. § 41104(d)(2) requires that an invoice for detention and demurrage charges must contain the following information:

- a. Date that the container is made available.
- b. The port of discharge.
- c. The container number or numbers.
- d. For exported shipments, the earliest return date.
- e. The allowed free time in days.
- f. The start date of free time.
- g. The end date of free time.
- h. The applicable detention or demurrage rule on which the daily rate is based.
- i. The applicable rate or rates per the applicable rule.
- j. The total amount due.
- k. The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- l. A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- m. A statement that the common carrier’s performance did not cause or contribute to the underlying invoice charges.

19. Flexport's invoices to Giti were issued in violation of 46 U.S.C. § 41104(a)(15) because Flexport failed to include on the invoices the required information as delineated in 46 U.S.C. § 41104(d)(2). Consequently, the invoices lacked the necessary detail for Giti to determine the basis and validity of the individual detention and demurrage charges. The deficiencies include, but are not limited to, 46 U.S.C. § 41104(d)(2)(a), (e), (f), (g), (l), and (m).

20. Exhibit A identifies each of the informational components required by 46 U.S.C. § 41104(d)(2) that is missing for each invoice. That information is incorporated into this paragraph as a factual allegation of the Amended Complaint as if the information in Exhibit A were set forth in full herein.

21. Giti contacted Flexport to advise of the deficiencies in the above referenced invoices. Giti also requested that Flexport provide the supporting documentation for the data underlying the invoiced detention and demurrage charges so that Giti could assess the validity and accuracy of the charges.

22. Flexport refused to provide further documentation validating the invoiced charges. Instead, Flexport provided Giti with a document it called an "OSRA Addendum." The OSRA Addendum listed a number of invoices and purported to provide the missing data required by the OSRA to be included on invoices for demurrage and detention charges.

23. The OSRA addendum, however, is insufficient to cure the defects. Flexport did not reissue complete invoices to Giti. The addendum is not a complete invoice and does not contain the most basic invoicing information. The addendum does not include who the charges are invoiced to, does not include an invoice issue date, does not include a payment due date, does not include a method of payment or any payment details, does not include any bill of lading reference or shipping contract information, does not include any voyage or vessel details, and omits other

necessary elements of a payable invoice. Giti is entitled to a single invoice with all relevant information regarding the shipment, the basis for the invoiced charges (including all listed items in 46 U.S.C. § 41104(d)(2)), payment instructions, etc. The OSRA Addendum is not a stand-alone invoice – it does not even provide instructions on how to pay the amount claimed to be due – and therefore does not cure the defects in the actual invoices issued by Flexport that do not meet the requirements of the Shipping Act.

24. Further, despite repeated requests from Giti, Flexport refused to provide any data to support the validity and source for the new information that it listed on its OSRA Addendum. Considering the passage of time and Flexport’s steadfast refusal to provide any supporting documentation, Giti has no way to assess the accuracy of Flexport’s charges listed in the belatedly provided OSRA Addendum.

25. In addition to other penalties, Flexport’s issuance of invoices in violation of 46 U.S.C. § 41104(a)(15) triggers 46 U.S.C. § 41104(f), titled “Elimination of charge obligation,” which provides that the “[f]ailure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.” See also 46 C.F.R. § 541.5.

26. Flexport has issued invoices with a total of \$4,545,735 in demurrage and detention charges that lack the required information set forth in section 41104(d)(2) of the Shipping Act.

B. Unjust and Unreasonable Practices – Weekend and Holiday Detention and Demurrage

27. Flexport’s actions and invoicing practices also violate the Shipping Act provisions prohibiting unjust and unreasonable practices and unreasonable charges, 46 U.S.C. § 41102(c) and 46 U.S.C. §41104(a)(14).

28. From February 10, 2022, through December 1, 2022, Flexport issued hundreds of invoices containing detention and demurrage charges for days on which the relevant port was closed, including holidays and weekend days, and the container could not be picked up or returned. Such charges did not incentivize the movement of containers or function to promote cargo fluidity.

29. The Commission has expressed that, absent extenuating circumstances, it is unreasonable and a violation of 46 U.S.C. S 41102(c) to impose charges for detention when containers cannot be returned. 46 C.F.R. § 545.5(c)(1). No extenuating circumstances are present here. Consequently, Flexport's invoicing of detention and demurrage charges for weekend and holiday days when the relevant port was closed and containers could not be picked up or returned violate the Shipping Act.

30. Exhibit B identifies each invoice that contains charges for weekend and holiday days on which the port was closed. That information is incorporated into this paragraph as a factual allegation of the Amended Complaint as if the information in Exhibit B were set forth in full herein.

31. Giti has been invoiced by Flexport for \$4,623,095 in demurrage and detention charges for holiday and weekend days on which the designated port was not open or available to received containers.

32. Flexport's unreasonable invoicing for demurrage and detention charges on days when the terminal was closed occurred on a normal, customary, and continuous basis. The hundreds of invoices identified by Flexport in Exhibit B plainly evidence that such invoicing practices of Flexport were normal, customary, and continuous.

33. In addition, Flexport issued invoices totaling \$718,485 that did not contain sufficient details, particularly dates for which detention and demurrage charges were being

assessed, for Giti to even determine whether the included detention and demurrage included weekend or holiday days in violation of the Shipping Act.

34. Exhibit C identifies each invoice that contains detention and demurrage charges without sufficient information to determine whether the dates charged include weekend and holiday days on which the port was closed. That information is incorporated into this paragraph as a factual allegation of the Amended Complaint as if the information in Exhibit C were set forth in full herein.

C. Unjust and Unreasonable Practices – Duplicate Charges

35. In multiple instances, Flexport issued invoices to Giti for detention and demurrage charges for containers for which Giti already had been billed – and had paid – per diem charges by the motor carrier that handled the containers. This resulted in unjust duplicate billing of Giti for demurrage and detention charges in violation of the requirements of 46 U.S.C. §41102(c).

36. For at least 34 of Giti’s containers, the VOCC invoiced the motor carrier per diem charges for containers returned after expiration of the applicable free days. Those per diem charges were passed through by motor carrier to Giti on its invoices to Giti. The charges were passed through by the motor carrier at cost, with no markup, based on the per diem charged by the VOCC, which was \$125 or \$150 per day. Giti paid the motor carrier for these per diem charges on these containers.

37. Separately, Flexport issued its own invoices to Giti containing per diem demurrage and detention charges for these same containers, despite the fact that the VOCC issued its per diem invoices directly to the motor carrier who, in turn, passed those charges through directly to Giti. Flexport’s charging Giti for detention and demurrage charges that were separately invoiced

directly to Giti by the motor carrier (passing through the VOCC charges) was unjust and unreasonable.

38. Moreover, Flexport inflated the per diem charges from those charged by the VOCC. The VOCC applied a per diem rate of \$125 or \$150. Flexport's detention rates ranged from \$175 to \$265 per day.

39. Flexport also applied different free time allowances than those applied by the VOCC for detention charges. The VOCC typically allowed 13, 12, or 11 free days. Flexport, on the other hand, allowed only 7 free days for each of the duplicate billed containers. By comparison, the VOCC allowed 7 days of free time on only 3 containers. This resulted in Flexport charging substantially higher per diem charges because it unjustly applied detention charges for dates that were within the ocean carrier's free time.

40. Additionally, as a result of this discrepancy in allowed free time, for at least another 15 containers, Flexport invoiced Giti for detention charges when no such charges were applied by the VOCC because they were within the allowed free time.

41. Exhibit D identifies the motor carrier and Flexport invoices on which Giti was billed by both entities for per diem charges on the same containers. The per diem charges on the same containers for the same dates were invoiced by the VOCC, passed through the motor carrier, for a total amount of \$11,900. Per diem charges invoiced by Flexport on the same containers for the same days total \$66,675.

42. Flexport's repeated issuance of invoices duplicating and enhancing per diem charges previously issued by the ocean carrier and motor carrier are practices occurring on a normal, customary, and continuous basis. Giti has identified 49 instances in which Flexport invoiced for per diem charges on containers that were either previously billed to Giti by the ocean

carrier and motor carrier or were still within the ocean carrier's allowed free time. These repeated violations over multiple months demonstrate that Flexport has a practice of issuing such invoices. And Giti believes there likely are additional instances in which Flexport has issued such duplicate charges that have not yet been discovered, but that would further establish the continuous nature of Flexport's unjust practices.

D. Unjust and Unreasonable Practices – Excessive Accessorial Charges

43. Many of the accessorial charges invoiced by Flexport to Giti were excessive in quantum. Flexport's charges in many instances were four or five times the market rate for equivalent services. Such extreme pricing constitutes unjust and unreasonable practices in violation of 46 U.S.C. § 41102(c).

44. Flexport regularly applied rates for accessorial charges far in excess of market rates. Based on Giti's review of its charges from other providers, Flexport's charges exceeded the market rates by as much as 460%. For example, the detention and demurrage charges invoiced by Flexport on the invoices identified in Exhibit D were 460% more than those invoiced by the VOCC. Similarly, a review of invoices from other providers show that Flexport's assessed charges far exceed market rates for storage, detention, and demurrage fees.

45. Excessive and unreasonable demurrage, detention, storage, and other accessorial charges invoiced by Flexport in violation of the Shipping Act total \$7,204,243.

46. The excessive fees charged by Flexport have been applied on a normal, customary, and continuous basis. They have been repeatedly included on the hundreds of invoices issued by Flexport to Giti over the course of the entire period addressed in this complaint. The hundreds of invoices issued to Giti show that this was part of Flexport's standard invoicing procedures and part of its normal and habitual practices.

V. CAUSATION

47. As a result of Flexport's above detailed violations of the Shipping Act, Giti has paid and has been invoiced for millions of dollars of improper detention and demurrage and other accessorial charges.

VI. DAMAGES

48. Giti has been invoiced by Flexport for \$5,341,580 in demurrage and detention charges for holiday and weekend days on which the designated port was not open or available to received containers.

49. Flexport has issued invoices with a total of \$4,545,735 for demurrage and detention charges that lack the required information set forth in section 41104(d)(2) of the Shipping Act.

50. Flexport has issued invoices with \$7,204,243 excessive accessorial charges that are excessive and unreasonable in violation of the Shipping Act.

51. Flexport has issued Giti invoices with over \$66,675 in duplicate charges that were also invoiced by a motor carrier or other party in addition to Flexport. The total sum of duplicate charges likely is significantly higher, but Flexport has refused to provide any of the supporting documentation underlying its invoices to Giti. That documentation likely will reveal additional instances in which Flexport issued invoices for the same charges that were invoiced to Giti by other ocean or motor carriers.

52. Some of Flexport's invoices contain charges that violate the Shipping Act for multiple of the reasons set forth in paragraphs 48-51 above. Accordingly, those invoiced charges are included in the totals for multiple of the categories. However, Giti does not seek double recovery for any invoiced charges.

53. Giti has attempted to resolve this dispute directly with Flexport prior to filing this Verified Complaint. Giti engaged in numerous discussions with Flexport regarding Giti's claims, but Flexport was unreceptive to adjustment of its invoices to account for the above detailed Shipping Act violations. Thus the discussions were unsuccessful in resolving the dispute.

VII. REQUEST FOR RELIEF

54. Giti respectfully requests that Flexport be required to answer the charges made in this Complaint, and that after the Commission's investigation and hearing, the Commission issue an order:

- a) Finding Flexport to have violated 46 U.S.C. § 41104 and 46 U.S.C. § 41102;
- b) Refunding Giti and/or eliminating the payment obligation of Giti for the non-compliant invoices and charges issued by Flexport as set forth above;
- c) Requiring Flexport to pay Giti reparations for the unlawful conduct described above, together with interest and Giti's attorney's fees and costs as described in 46 U.S.C. §41305; and
- d) Such other and further relief as the FMC determines to be just and proper.

VIII. REQUEST FOR ORAL HEARING

55. Giti requests a hearing on this matter, and further requests that the hearing be held in at the Commission's regional office or other appropriate location in Los Angeles, California.

Respectfully submitted,

/s/ Michael Harowski

Michael A. Harowski

michael.harowski@wilsonelser.com

Matthew J. Hamilton

Matthew.Hamilton@wilsonelser.com

Wilson Elser Moskowitz Edelman & Dicker LLP

400 Poydras Street, Suite 2250

New Orleans, Louisiana 70130

Phone: 504-712-1710
Fax: 504-712-1715

AND

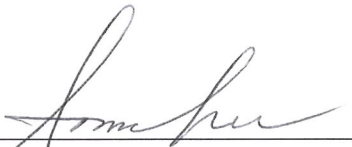
E. Paul Dougherty Jr.
Wilson Elser Moskowitz Edelman & Dicker LLP
555 S. Flower Street - Suite 2900
Los Angeles, CA 90071-2407
213.443.5100 (Main)
213.443.5101 (Fax)
paul.dougherty@wilsonelser.com

Counsel for Complainant, Giti Tire (USA) Ltd.

VERIFICATION

I, Simon Chen, Head of Logistics and DC of Giti Tire (USA) Ltd., hereby declare and attest under penalty of perjury that I have read the foregoing Verified Complaint and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Date: Sep 9, 2024



SIMON CHEN
Head of Logistics and DC